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Economics PG Entrance Course
ISI Mathematics 2018

1. The probability density function (PDF) of a random variable x is given by

$$f(x) = 3/5 + cx^2 \text{ if } 0 \leq x \leq 1, \text{ and}$$

$$f(x) = 0 \text{ otherwise}$$

Then, the value of c is

- A. 0
- B. 1
- C. $5/6$
- D. $6/5$

2. $\lim_{x \rightarrow e} \frac{\log x - 1}{x - e}$ equals

- A. 0
- B. $\frac{1}{e}$
- C. e
- D. 1

3. Let $x_1, x_2, \dots, x_6$ be independent random variables such that

$$\text{Prob}(x_i = -1) = \text{prob}(x_i = 1) = \frac{1}{2}, i = 1, 2, \dots, 6.$$

Then, $\text{prob}[\sum_{i=1}^6 x_i = 4]$ is

- A. $\frac{3}{64}$
- B. $\frac{3}{32}$
- C. $\frac{3}{16}$

D. $\frac{3}{4}$

4. The domain of the function

$$f(x) = \sqrt{\frac{2x-1}{x+3}}$$

Is

- A. $(-3, \frac{1}{2}]$
- B. $(-\infty, -3) \cup [\frac{1}{2}, \infty)$
- C. $(-\infty, -3) \cup (-3, \infty)$
- D. $(-\infty, -3) \cup (-3, \frac{1}{2}) \cup (\frac{1}{2}, \infty)$.

5. Let $X \sim B(2, \frac{1}{2})$, where $B(n, p)$ denotes the binomial distribution with Parameters n and p . Then the expected value of $\frac{2}{1+x}$ equals

- A. $\frac{2}{3}$
- B. $\frac{6}{7}$
- C. 1
- D. $\frac{7}{6}$

6. Consider the system of linear equations:

$$\begin{aligned}(4a-1)x + y + z &= 0 \\ -y + z &= 0 \\ (4a-1)z &= 0.\end{aligned}$$

The value of a for which this system has a non-trivial solution (i.e. a solution

Other than $(0,0,0)$ is

- A. $\frac{1}{2}$
- B. $\frac{1}{4}$
- C. $\frac{3}{4}$
- D. 1.

7. Let $f: \mathbb{R} \rightarrow \mathbb{R}$ be a convex and differentiable function with $f(0) = 1$, where

$\mathbb{R}$ denotes the set of real numbers. If the derivative of f at 2 is 2, then the

Maximum value of $f(2)$ is

- A. 3
- B. 5
- C. 10
- D. ∞ .

8. Suppose $f: \mathbb{R}^n \rightarrow \mathbb{R}$ is homogeneous of degree k and $g: \mathbb{R}^n \rightarrow \mathbb{R}$ is

Homogeneous of degree l , where $\mathbb{R}$ denotes the set of real numbers. Further

The function $f+g: \mathbb{R}^n \rightarrow \mathbb{R}$ is also homogeneous of degree m . Then,

- A. $m = k = l$
- B. $m = k + l$
- C. $m > \min \{k, l\}$
- D. $m < \max \{k, l\}$.

9. Consider the expansion of $(1+x)^{18}$ given by

$$1 + {}^{18}C_1 x + {}^{18}C_2 x^2 + \dots + x^{18}.$$

Suppose that the coefficients of the $(2r+4)$ -th and $(r-2)$ -th terms in this

Expansion are equal. Then, the value of r is

- A. 5
- B. 6
- C. 7
- D. None of the above.

10. Consider the equation $2x + 5y = 103$. Then, how many pairs of positive

Integer values can (x, y) take such that $x > y$?

- A. 7
- B. 8
- C. 13
- D. 1

11. Let x be a discrete random variable with probability mass function (PMF)

$f(x)$ such that

$$f(x) > 0 \text{ if } x = 0, 1, \dots, n, \text{ and}$$

$$f(x) = 0 \text{ otherwise.}$$

Where n is a finite integer. If $\text{prob}(x \geq m \mid x \leq m) = f(m)$, then the value of m is

- A. 0
- B. 1
- C. $N - 1$
- D. None of the above.

12. Let x be a standard Normal variable with mean 0 and variance 1. Let $\Phi(x)$ and $\phi(x)$ be the probability density function (PDF) and cumulative distribution function (CDF) of X , respectively. Consider the equation

$$3a^2 \int_{-\infty}^{\infty} \phi^2(x) \Phi(x) dx - 10|a| \int_{-\infty}^{\infty} \phi(x) \Phi(x) dx + 4 \int_{-\infty}^{\infty} \Phi(x) dx = 0.$$

Then, all roots of this equation are

- A. 0
- B. 1, -1
- C. 4, -4
- D. None of the above.

13. Consider the function $f(x) = 2ax \log_e x - ax^2$ where $a \neq 0$. Then

- A. the function has a maximum at $x = 1$
- B. the function has a minimum at $x = 1$
- C. the point $x = 1$ is a point of inflection
- D. none of the above.

14. If $\int \log_e x^2 dx = 2$, then t equals

- A. $e - 1$
- B. 2
- C. e
- D. $e + 1$.

15. Let $f: [0, 10] \rightarrow [10, 20]$ be a continuous and twice differentiable function

Such that $f(0) = 10$ and $f(10) = 20$. Suppose $|f'(x)| \leq 1$ for all $x \in [0, 10]$.

Then, the value of $f''(5)$ is

- A. 0
- B. $\frac{1}{2}$
- C. 1
- D. Cannot be determined from the given information.

16. Consider the system of linear equations

$$X + 2ay + az = 0$$

$$X + 3by + bz = 0$$

$$X + 4cy + cz = 0.$$

Suppose that this system has a non-zero solution. Then, a, b, c

- A. Are in arithmetic progression
- B. Are in geometric progression
- C. Are in harmonic progression
- D. Satisfy $2a + 3b + 4c = 0$.

17. Let $p = (p_{ij})$ be a 50×50 matrix, where $p_{ij} = \min(i, j)$; $i, j = 1, \dots, 50$.

Then rank of P equals

- A. 1
- B. 2
- C. 25
- D. 50

18. Let A be an $m \times 1$ non-zero column matrix and B be a $1 \times n$ non-zero row

Matrix. The rank of the matrix AB is

- A. 1
- B. 2
- C. $\min\{m, n\}$
- D. Cannot be determined from the given information.

19. Let a, b, c be real numbers. Consider the function $f(x_1, x_2) = \min \{a -$

$x_1, b - x_2$. Let (x_1^*, x_2^*) be the solution to the maximization problem

$$\text{Max } f(x_1, x_2) \text{ subject to } x_1 + x_2 = c.$$

Then $x_1^* - x_2^*$ equals

- A. $\frac{c+a-b}{2}$
- B. $\frac{c+b-a}{2}$
- C. $a - b$
- D. $b - a$.

20. Suppose that you have 10 different books, two identical bags and a box.

The bags can each contain three books and the box can contain four books.

The number of ways in which you can pack all the books is

- A. $10! / (2! 3! 3! 4!)$
- B. $10! / (3! 3! 4)$
- C. $10! / (2! 3! 4)$
- D. None of the above.

21. The value of $1 + 2.2 + 3.2^2 + 4.2^3 + \dots + 100.2^{99}$ is

- A. $98.2^{100} - 1$
- B. $98.2^{100} + 1$
- C. $99.2^{100} - 1$
- D. $99.2^{100} + 1$.

22. Real number $a_1, a_2, \dots, a_{99}$ form an arithmetic progression. Suppose that

$$A_2 + a_5 + a_8 + \dots + a_{98} = 205.$$

Then, the value of $\sum_{k=1}^{99} a_k$ is

- A. 612
- B. 615
- C. 618
- D. None of the above.

23. The coefficient of x^{50} in the expansion of

$$(1+x)^{1000} + x(1+x)^{999} + x^2(1+x)^{998} + \dots + x^{1000}$$

Is

- A. $^{1000}C_{50}$
- B. $^{1001}C_{50}$
- C. $^{1002}C_{50}$
- D. None of the above.

24. $\int \frac{x dx}{2x^4 - 3x^2 - 2}$ equals

A. $\log_e \left\{ \left(\frac{2x^2 - 4}{2x^2 + 1} \right)^{\frac{1}{4}} \right\} + k$

B. $\log_e \left\{ \left(\frac{2x^2 - 4}{2x^2 + 1} \right)^{\frac{1}{10}} \right\} + k$

C. $\log_e \left\{ \left(\frac{2x - 4}{2x + 1} \right)^{\frac{1}{4}} \right\} + k$

D. $\log_e \left\{ \left(\frac{2x - 4}{2x + 1} \right)^{\frac{1}{10}} \right\} + k$

Where k is the constant of integration.

25. A stone is thrown into a circular pond of radius 1 meter. Suppose the stone falls uniformly at random on the area of the pond. The expected distance of the stone from the center of the pond is

- A. $\frac{1}{3}$
- B. $\frac{1}{2}$
- C. $\frac{2}{3}$
- D. $\frac{1}{\sqrt{2}}$

26. Suppose that there are n stairs, where n is some positive integer. A person standing at the bottom wants to reach the top. The person can climb either 1 stair or 2 stairs at a time. Let T_n be the total number of ways in which the person can reach the top. For instance, $T_1 = 1$ and $T_2 = 2$. Then,

Which one of the following statements is true for every $n > 2$?

- A. $T_n = n$
- B. $T_n = 2T_{n-1}$
- C. $T_n = T_{n-1} + T_{n-2}$
- D. $T_n = \sum_{k=1}^{n-1} T_k$

27. Let $Y_1, Y_2, \dots, Y_n$ be the income of n individuals with $E(Y_i) = u$ and $\text{Var}(Y_i) = a^2$ for all $i = 1, \dots, n$. These n individuals form m groups each of size k . It is known that individuals within the same group are correlated. But two individuals in different groups are always independent. Assume that, when individuals are correlated, the correlation coefficient is the same for all pairs. Consider the random variable $\bar{y} = \frac{1}{n} \sum_{i=1}^n Y_i$. The limiting variance of $\bar{y}$ when m is large, but k is finite is

- A. 0
- B. $1/k$
- C. 1
- D. $\frac{a^2}{k}$

28. A person makes repeated attempts to destroy a target. Attempts are made independently of each other. The probability of destroying the target in any attempt is 0.8. Given that he fails to destroy the target in the first five attempts, the probability that the target is destroyed in the 8-th attempts is

- A. 0.032
- B. 0.064
- C. 0.128
- D. 0.160

29. Let E and F be two events such that $0 < \text{prob}(E) < 1$ and $\text{prob}(E|F) + \text{Prob}(E|F^c) = 1$. Then

- A. E and F are mutually exclusive
- B. $\text{Prob}(E^c|F) + \text{prob}(E^c|F^c) = 1$.
- C. E and F are independent
- D. $\text{Prob}(E|F) + \text{prob}(E^c|F^c) = 1$.

30. Let f and g be two continuous functions from $[0,1]$ to $(0,\infty)$ with the

Property that

$$\int_0^1 f(x) dx = \int_0^1 g(x) dx$$

And there is a subinterval $(a,b) \subseteq [0,1]$ such that $f(x) \neq g(x)$ for all $x \in (a,b)$.

Define the following for each integer $n \geq 0$.

$$I_n = \int_0^1 \frac{[f(x)]^{n+1}}{[g(x)]^n} dx$$

Which of the following is true?

- A. $I_1 > I_0$
- B. $I_1 < I_0$
- C. $I_1 = I_0$
- D. None of the above

ISI Economics 2018

1. A consumer has the utility function

$$U(x,y) = (x-10)y; x \geq 0, y \geq 0.$$

Prices of the commodities are given by $p_x = p_y = 1$, and the Consumer's money income is $M = 5$. Then the utility maximizing Income-exhausting consumption bundle of this consumer is

- (A) $(x=0, y=5)$.
- (B) $(x=5, y=0)$.
- (C) $(x=2.5, y=2.5)$.
- (D) None of the above.

2. Two individuals, X and Y, have to share Rs 100. The shares of X and Y are denoted by x and y respectively; $x, y \geq 0, x+y = 100$.

Their utility functions are:

$$U_x(x,y) = x + \left(\frac{1}{4}\right)y;$$

and

$$U_y(x,y) = y + \left(\frac{1}{2}\right)x.$$

The social welfare function is

$$W(U_x, U_y) = \min\{U_x, U_y\}.$$

Then the social welfare maximizing allocation is

- (A) (44,56).
- (B) (48,52).
- (C) (50,50).
- (D) (60,40).

3. Let the utility function of a consumer be given by

$$U(x, y) = \min\{y + 2x, x + 2y\}.$$

Prices are given by $P_x = 1, P_y = 3$, while the consumer's income is

$M = 15$. Then her equilibrium consumption will be

- (A) (15,0).
- (B) (0,5).
- (C) (3,4).
- (D) (6,3).

4. Consider two consumers. They consume one private good (x) and a public good (G). Consumption of the public good depends on the sum of their simultaneously and non-cooperatively chosen contributions towards the public good out of their incomes.

Thus, if g_1 and g_2 are their contributions, then the consumer i ($i = 1, 2$) has $U_i(x_i, g) = x_i g$.

The price of the private good is $p > 0$ and the income of each consumer is $M > 0$. Then the consumers equilibrium contributions towards the public good will be

- (A) $\left(\frac{M}{2}, \frac{M}{2}\right)$.
- (B) $\left(\frac{M}{3}, \frac{M}{3}\right)$.
- (C) $\left(\frac{M}{4}, \frac{M}{4}\right)$.
- (D) $\left(\frac{M}{p}, \frac{M}{p}\right)$.

5. A consumer has a stock X of infinitely durable consumption goods. She decides her consumption of this stock over an infinite (discrete) Time horizon. Her utility function in period t is $u_t = \delta^t \ln c_t$, where c_t is her consumption in period t , $t = 0, 1, 2, \dots$. Let δ be the discount Factor. The consumer wishes to maximize the present value of her Consumption over her infinite time horizon. Then her consumption In period t will be given by:

- (A) $C_t = \delta^t(1-\delta) X$.
- (B) $C_t = (1-\delta)^t \delta X$.

$$(C) C_t = \delta(1-\delta^t)X.$$

$$(D) C_t = (1-\delta)X.$$

6. Let the production function of a firm be $Q = \min \{aK, bL\}$, and let R and w be the prices of the inputs K and L respectively; a and b are positive constants. Then the cost function of the firm is:

$$(A) C(Q) = \min \left\{ \frac{r}{a}, \frac{w}{b} \right\} Q.$$

$$(B) C(Q) = (ar + bw)Q.$$

$$(C) C(Q) = \min \{ ar, bw \} Q.$$

$$(D) C(Q) = \left(\frac{r}{a} + \frac{w}{b} \right) Q.$$

7. Consider two firms, 1 and 2 producing a homogeneous product and competing in Cournot fashion. Both firms produce at constant Marginal cost, but firm 1 has a lower marginal cost than firm 2. Specifically, firm 1 requires one unit of labor and one unit of raw material to produce one unit of output. While firm 2 requires two units of labor and one unit of raw material to produce one unit of output. There is no fixed cost. The prices of labor and material are given and the market demand for the product is determined according to the function $q = A - bp$, where q is the quantity demanded at price p and $A, b > 0$. Now, suppose the price of labor goes up, but that of raw material remains the same. Then the equilibrium profit of Firm 1

(A) Increase.

(B) Decrease.

(C) Remain unchanged.

(D) Go up or down depending on the parameters.

8. Considered again the problem in Question 7. As before, suppose that the price of labor goes up, but that of raw material remains the same. Then, the equilibrium profit of firm 2 will

(A) Increase.

(B) Decrease.

(C) Remain unchanged.

(D) Go up or down depending on the parameters.

9. Consider a firm which initially operates only in market A as a Monopolist and faces market demand $Q = 20 - P$. Given its cost Function $C(Q) = \frac{1}{4}Q^2$, it charges a monopoly price P_m in this Market. Now suppose that, in addition to selling as a monopolist in Market A, the firm starts selling its products in a competitive market, B, at price $\hat{p} = 6$. Under this situation the firm charges P_m^* in Market A. Then:
- (A) $P_m^* > P_m$.
 - (B) $P_m^* < P_m$.
 - (C) $P_m^* = P_m$.
 - (D) Given the available information we cannot say whether

10. Consider a monopolist which faces the following market demand Function $D(p)$

$$D(p) = \begin{cases} p & \text{if } 0 \leq p \leq 10 \\ 20 - p & \text{if } 10 < p < 20 \\ 0 & \text{if } p \geq 20 \end{cases}$$

Production requires no variable cost; however, if the firm Decides to produce it will have to incur a fixed cost of 50. Then The optimal monopoly price is:

- (A) 0.
- (B) 5.
- (C) 10.
- (D) 15.

11. Suppose there are two groups of consumers in a market. The first Group generates a proportion of the total demand and the second Generates the remaining $(1 - a)$ proportion. The (absolute) price elasticity of demand for group i ($i = 1, 2$) is e_i . Then the price elasticity of demand for all consumers taken together is given by:

- (A) $a(e_2 - e_1) + e_1$.
- (B) $(1 - a)(e_2 - e_1) + e_2$.
- (C) $a(e_1 - e_2) + e_2$.
- (D) $(1 - a)(e_1 - e_2) + e_1$.

12. Two consumer, A and B, have utility functions $U_A = \min \{x_A, Y_A\}$ And $U_B = x_B + Y_B$, respectively. Their endowments vectors are $E_A = (100, 100)$ and $e_B = (50, 0)$. Consider a competitive

Equilibrium price vector (p_x, p_y) . Then,

- (A) $(\frac{1}{5}, \frac{2}{5})$ is the unique equilibrium price vector.
- (B) $(\frac{1}{5}, \frac{2}{5})$ is one of the many possible equilibrium price vectors.
- (C) $(\frac{1}{5}, \frac{2}{5})$ is never an equilibrium price vector.
- (D) an equilibrium price vector does not exist.

13. Suppose that museums are public goods. Suppose also that there are Two types of individuals, A and B, in the society, each type with a Different individual marginal benefit function for museums. A type A individual's marginal benefit is $\text{Max}\{20 - 2Q, 0\}$, while a type B Individual's marginal benefit is $\text{Max}\{4 - Q, 0\}$, where Q is the Number of museums; $0 \leq Q \leq 10$. There are 10 individuals of each Type in the society. The overall marginal benefit functions for the Society (20 people) is;

- (A) $[240 - 30Q]$ if $0 \leq Q \leq 4$, and $[200 - 20Q]$ if $4 < Q \leq 10$.
- (B) $[240 - 30Q]$.
- (C) $[40 - 10Q]$ if $0 \leq Q \leq 4$, and $[200 - 20Q]$ if $4 < Q \leq 10$.
- (D) $140 - 15Q$.

14. In the scenario described in Question 13, suppose that the constant Marginal cost of production of museums is 100. Then the socially Efficient level of museum production is:

- (A) 5.
- (B) 15.
- (C) 10.
- (D) 7.

15. Suppose a firm is a monopsonist in the labor market and faces Separate labor supply functions for male and female workers. The Labor supply function for male workers is given by $l_M = W_M^k$, Where l_M is the amount of male labor available when the wage Offered to male workers is W_M , and k is a positive constant. Analogously, the labor supply function for female workers is given By $l_F = W_F$. Male and female workers are perfect substitutes for One another. The firm produces one unit of output from each unit Of labor it employs, and sells its output in a competitive market at a Price of p per unit. The firm can pay male and female workers

Differently if it chooses to. Suppose the firm decides to pay male Workers more than female workers. Then it must be the case that:

- (A) $K < \frac{1}{2}$.
- (B) $\frac{1}{2} \leq k < 1$.
- (C) $k = 1$.
- (D) $k > 1$.

16. Consider the problem in Question 15, and assume the firm pays Male workers more than female workers. Suppose further that $p > 2$. Then the firm must

- (A) hire more male workers than female workers.
- (B) hire more female workers than male workers.
- (C) hire identical numbers of male and female workers.
- (D) Hire more females than males if $2 < p \leq 4$, but more males Than females if $p > 4$.

17. If the value of the parameter k in Question 15 increases, then the Equilibrium value of the female to male wage ratio (i.e., $\frac{W_F}{W_M}$) in Question 15 must

- (A) Fall.
- (B) Rise.
- (C) Stay the same.
- (D) Rise if $p > 3$, but fall otherwise.

18. If the value of the parameter k in Question 15 increases, then the Equilibrium value of the male wage rate (i.e., w_M) in Question 15 Must

- (A) Fall.
- (B) Rise.
- (C) Stay the same.
- (D) Fall if $p > 3$, but rise otherwise.

19. Suppose a consumer consumes positive amounts of N goods, $N > 1$.

Her preference are given by $u(x_1, x_2, \dots, x_N) = \left[\sum_{i=1}^N a_i \ln x_i \right]^y$,

Where $a_i > 0$ for $i = 1, 2, \dots, N$, and $y > 0$. Then:

- (A) The income elasticity of demand for at least one good must be greater than one.
- (B) The income elasticity of demand for every good must be exactly one.
- (C) the income elasticity of demand for every good must be less than 1.
- (D) The income elasticity of demand for at least one good must be less than 1

20. In a Ricardian model of international trade with two countries and N commodities (n even), in equilibrium a country will produce

- (A) At least $\frac{n}{2}$ commodities and at most $\frac{n}{2} + 1$ commodities.
- (B) Exactly $\frac{n}{2}$ commodities.
- (C) Exactly $\frac{n}{2} + 1$ commodities.
- (D) At least one commodity and at most n commodities.

21. In a two country, two factor, two good Heckscher-Ohlin model of Trade where both countries are incompletely specialized in trade Equilibrium, a rise in the endowment of labor at Home will

- (A) Increase the real return to capital in both countries.
- (B) Reduce the real return to capital at Home while keeping it constant in the Foreign country.
- (C) keep the real return to capital unchanged in both countries.
- (D) Reduce the real return to capital in both countries.

22. In a complete Keynesian model, if the monetary authorities fix the

Rate of interest instead of the supply of money,

Demand curve will be

- (A) Downward sloping.
- (B) Upward rising.
- (C) Vertical.
- (D) Horizontal.

23. In a complete Keynesian model, a recession is characterized by
- (A) A fall in output with a rise in real wage.
 - (B) A fall in output with a fall in real wage.
 - (C) A fall in output with a constant real wage.
 - (D) A fall in output with an ambiguous change in real wage.
24. Suppose that the level of savings varies positively with the level of Income and that savings is identically equal to investment. Then The IS curve
- (A) Slopes positively.
 - (B) Slopes negatively.
 - (C) Is vertical.
 - (D) Does not exist.
25. Consider the Solow growth model without technological progress. Suppose that the rate of growth of the labor force is 2%. Then, in The steady-state equilibrium
- (A) Per capita income grows at the rate of 2%.
 - (B) Per capita consumption grows at the rate of 2%.
 - (C) Wage per unit of labor grows at the rate of 2%.
 - (D) Total income grows at the rate of 2%.
26. Consider a Simple Keynesian Model for a closed economy with Government. Suppose there does not exist any public sector Enterprise in the economy. Income earners are divided into two Groups: Group 1 and Group 2, such that the saving propensity of the Former is less than that of the latter. Aggregate planned investment Is an increasing function of GDP (Y). Start with an initial Equilibrium situation. Now, suppose the government imposes and Collects additional taxes from Group 1 and uses the tax revenue so Generated to make transfer payments to Group 2. Following this:
- (A) Aggregate saving in the economy remains unchanged.
 - (B) Aggregate saving in the economy declines.
 - (C) Aggregate saving in the economy rises.
 - (D) Aggregate saving in the economy may change either way.

27. Suppose, in an economy, the level of consumption is fixed, while
The level of investment varies inversely with the rate of interest.
Then the IS curve is

(A) Positively sloped.
(B) Negatively sloped.
(C) Vertical.
(D) Horizontal.

28. Suppose, in an economy, the demand function for labor is given by:

$$L^d = 100 - 5w.$$

Whereas the supply functions for labor is given by:

$$L^s = 5w;$$

Where w denotes the real wage rate. Total labor endowment in this
Economy is 80 units. Suppose further that the real wage is
Flexible. Then involuntary unemployment in this economy is

(A) 30.
(B) 50.
(C) 10.
(D) 0.

29. Consider again the economy specified in Question 28. Suppose
Now that the real wage rate is mandated by the government to be at
Least 11. Then total unemployment will be

(A) 35.
(B) 0.
(C) 30.
(D) 10.

30. Consider a macro-economy defined by the following equations:

$$M = kpy + L(r),$$

$$S(r) = I(r),$$

$$Y = \tilde{y},$$

Where M, P, Y and r represent respectively, money supply, the
Price level, output and the interest rate, while k and $\tilde{y}$ are positive
Constants. Furthermore, $S(r)$ is the savings function, $I(r)$ is the
Investment demand function and $L(r)$ is the speculative demand
For money function, with $S'(r) > 0$, $I'(r) < 0$ and $L'(r) < 0$.
Then, an increase in M must

- (A) Increase P proportionately.
- (B) Reduce P.
- (C) Increase P more than proportionately.
- (D) Increase p less than proportionately.

[Redacted]

[Redacted]

[Redacted]

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